Session 23: Revenue Recognition II: Mini Cases (IASB Exposure Draft)

By the end of this session you must be able to apply the five-step IFRS15 model from Session 22 to four classic scenario types: a loyalty/miles programme (material right as a separate performance obligation), a right of return (variable consideration and refund liabilities), non-refundable up-front fees, and percentage-of-completion service contracts.

Plan

1. Mini Case: British Airways Miles (Material Right as a Performance Obligation)
2. Mini Case: Right of Return
3. Mini Case: Non-Refundable Up-Front Fees
4. Mini Case: Percentage-of-Completion Services
5. Common Mistakes and Exam Traps
6. Must Know Absolutely

1. Mini Case: British Airways Miles (Material Right as a Performance Obligation)

Facts: BA sells a round-trip London-New York ticket for €400 (its stand-alone selling price). The customer also receives 5,000 award miles, with an estimated stand-alone selling price of €50.

Key concept (not explicit in Session 22, but required here. Add-on): under IFRS15, a customer loyalty award that gives the customer a material right they would not receive without entering into the contract (e.g. future discounted or free goods/services) is itself a separate performance obligation, not a marketing cost. The entity must allocate part of the transaction price to it.

Applying Steps 2-5: two performance obligations exist: the flight, and the award miles (a material right to future travel benefits). Total stand-alone selling prices = 400 + 50 = 450. Allocating the actual €400 transaction price proportionally (Step 4): flight = 400/450 × 400 = €355.56. Miles = 50/450 × 400 = €44.44. The flight obligation is satisfied at a point in time (when the flight is provided), revenue of €355.56 is recognised then, not at ticket sale. The miles obligation is satisfied only when the customer redeems the miles (or they expire), revenue of €44.44 is deferred as a **contract liability** until redemption/expiry.

Entries and income statement implications: at ticket sale (cash received in advance of both obligations): Dr Cash 400. Cr Contract liability (flight) 355.56. Cr Contract liability (miles) 44.44, **no** revenue is recognised yet, since neither obligation has been satisfied. When the flight is flown: Dr Contract liability (flight) 355.56. Cr Revenue 355.56. When miles are redeemed (or expire unused): Dr Contract liability (miles) [amount]. Cr Revenue [amount]. The unique expense-recognition issue BA faces is that a portion of every ticket's cash receipt must be held back from revenue (and from matching expense recognition) until a wholly separate, later event (miles redemption) occurs, meaning current-period revenue understates current-period cash collected, and the income statement shows a growing contract liability balance for outstanding miles until redeemed.

2. Mini Case: Right of Return

Facts: an entity sells 100 products at €100 each (€10,000 total), with a customary policy of full refund for returns within 30 days. Cost per product = €60. Using the most likely amount method (Step 3), the entity estimates 3 products will be returned, and its historical experience is predictive of this estimate.

Applying Step 3 and beyond: transaction price = expected consideration for the 97 units expected to be kept = 97 × €100 = **€9,700** (not the full €10,000 invoiced, since the 3 expected returns are not consideration the entity expects to be entitled to). A **refund liability** is recognised for the 3 expected returns: 3 × €100 = €300. In parallel, since the entity expects to recover the returned goods, it recognises a **right to recover returned goods** asset at their cost: 3 × €60 = €180 (adjusting cost of goods sold correspondingly, since only 97 units' worth of cost, 97 × €60 = €5,820, should hit COGS against the €9,700 of recognised revenue).

Entries: at sale: Dr Cash/Receivable 10,000. Cr Revenue 9,700. Cr Refund liability 300. For cost of sales: Dr Right to recover returned goods (asset) 180. Dr Cost of goods sold 5,820. Cr Inventory 6,000 (the full 100-unit cost).

3. Mini Case: Non-Refundable Up-Front Fees

Facts: a health club charges a non-refundable joining fee of €100 (in part compensating for the initial registration activities) plus ongoing annual fees. The joining fee is not charged again on renewal. Initial set-up contract costs are €70.

Key concept (Add-on, building on Step 2): the activity of registering a customer is not itself a good or service transferred to the customer (the customer does not benefit from "being registered" on its own), so the €100 fee is not a separate performance obligation. Instead, IFRS15 guidance treats such non-refundable up-front fees as an advance payment for the future goods/services the customer will actually receive (health club access), recognised as revenue over the period those future goods/services are provided, which, because renewal carries no further fee, is typically the expected period of the overall customer relationship, not just the first contractual year.

Applying the model: the €100 fee is recognised as revenue over the expected customer relationship period, not immediately at signing and not necessarily confined to year 1. The €70 initial set-up cost meets the Session 22 contract-cost criteria (directly related to the specific contract, generates resources the entity will use, and is expected to be recovered), so it is capitalised as a contract cost asset and amortised over that same period the €100 fee is recognised over. Matching the cost against the revenue it helped generate, rather than expensing it immediately as incurred.

4. Mini Case: Percentage-of-Completion Services

Facts: during 2005, Company A enters a fixed-price service contract for €600,000. At year-end 2005, the contract is assessed as one-third complete. Costs paid to date are €250,000, with a reliable estimate of a further €200,000 to complete. The customer pays €300,000 in cash by year-end.

Applying Step 5: the service is a performance obligation satisfied **over time** (a fixed-price service contract with continuous delivery), so revenue is recognised according to progress. Here, progress is given directly as an **output measure** ("assessed as being one third complete"), rather than derived from the input/cost-to-cost method. Revenue recognised for 2005 = 1/3 × 600,000 = **€200,000**.

Entries, assuming revenue of €200,000 and cash received of €300,000: Dr Cash 300,000. Cr Revenue 200,000. Cr Contract liability 100,000 (cash collected in excess of revenue earned to date, since the customer has paid more than the entity has performed). Costs incurred to date (€250,000) are expensed as incurred, matched against the recognised revenue in the period. Note this produces a reported loss for 2005 on this contract alone (200,000 revenue against 250,000 costs incurred), which is a direct consequence of progress being measured by an output method that does not track the cost pattern one-for-one.

5. Common Mistakes and Exam Traps

- Treating a loyalty/miles programme as a marketing expense rather than a separate performance obligation. If it grants the customer a material right, part of the transaction price must be allocated to it under Step 4, deferring that portion of revenue.
- Recognising the full invoiced amount as revenue in a right-of-return scenario. The transaction price (Step 3) must already reflect expected returns. The refund liability and right-to-recover-goods asset are separate items alongside (not replacing) the reduced revenue figure.
- Recognising a non-refundable up-front fee entirely at contract inception. If the fee does not correspond to a distinct good/service, it is deferred and recognised over the period of the future goods/services it relates to (potentially the expected customer relationship, not just the stated contract term).
- Immediately expensing set-up/contract-acquisition costs that meet the three contract-cost criteria. They should be capitalised and amortised over the same period as the related revenue, exactly as in the IT-outsourcing example from Session 22.
- Assuming input (cost-to-cost) and output (assessed % complete) progress methods must always agree. As the percentage-of-completion mini case shows, they can diverge, and the entity must choose whichever method faithfully depicts actual progress, not automatically default to costs incurred.

6. Must Know Absolutely

Must know:

• A loyalty/miles programme granting a material right is a separate performance obligation, allocate transaction price proportionally by stand-alone selling price, deferring the miles' share until redemption/expiry

• Right of return: transaction price = expected consideration net of expected returns (most likely amount). Recognise a refund liability for expected returns and, separately, a right-to-recover-returned-goods asset at cost

• Non-refundable up-front fees not tied to a distinct service are deferred and recognised over the period of future goods/services (potentially spanning expected renewals)

• Contract-acquisition/set-up costs meeting the three capitalisation criteria are amortised over the same period as the revenue they relate to, matching cost to revenue

• Progress on an over-time performance obligation can be measured by output (assessed completion, milestones) or input (costs incurred) methods, and the two need not produce the same percentage, use whichever faithfully depicts actual progress